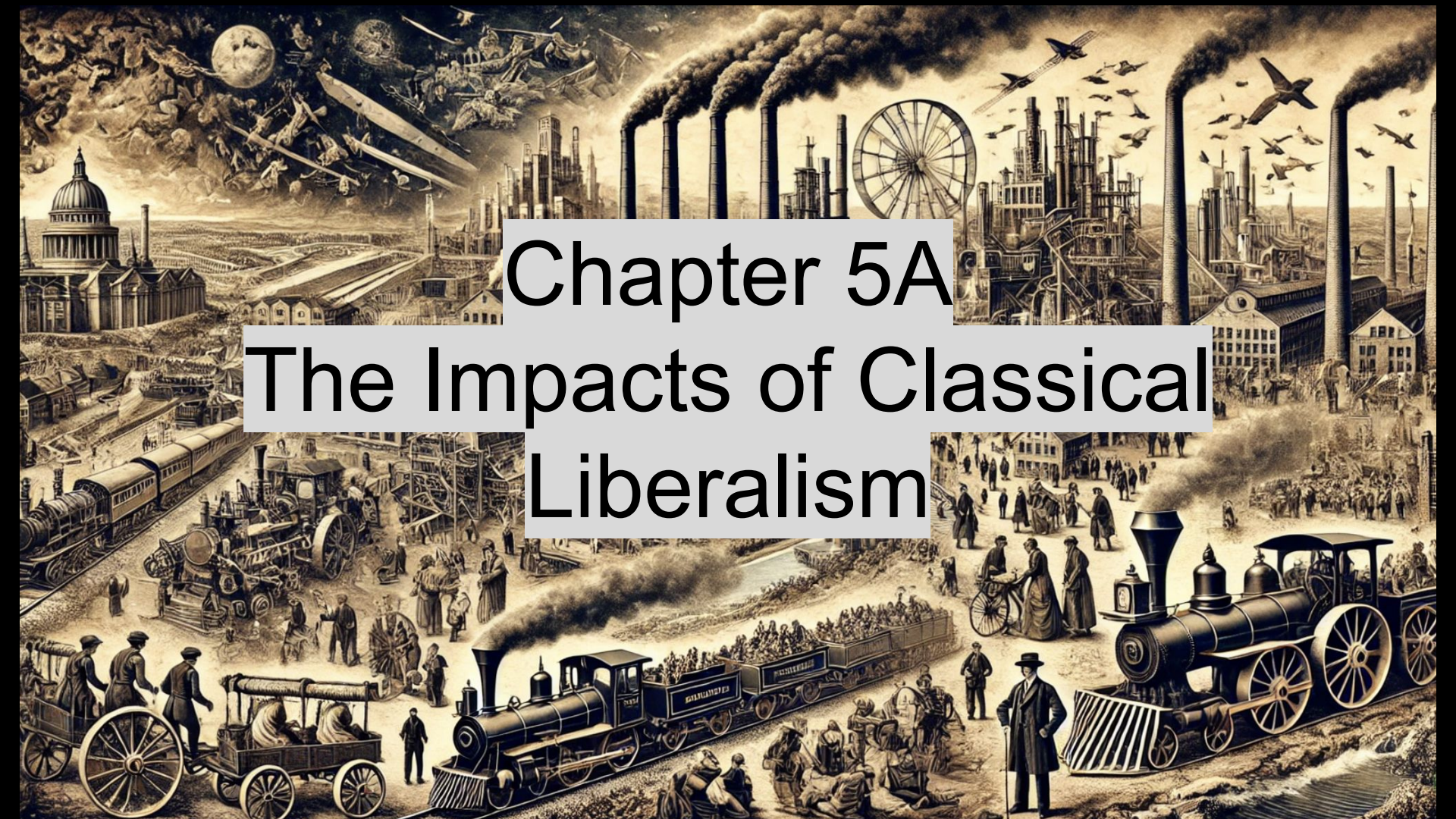




Chapter 5A

The Impacts of Classical Liberalism



Key Terms and Concepts

- Cost of Living
- Equal Opportunity
- Feminism
- Human Rights
- Industrial Revolution
- Industrialization
- Labour Standards and Unions
- Laissez-faire Capitalism
- Modern liberalism
- Standard of Living
- Universal Declaration of Human Rights
- Voting Rights
- Welfare State



EUROPEAN HISTORY

24

THE INDUSTRIAL REVOLUTION



CRASH COURSE

Conditions Created by Classic Liberalism (Pg 116)



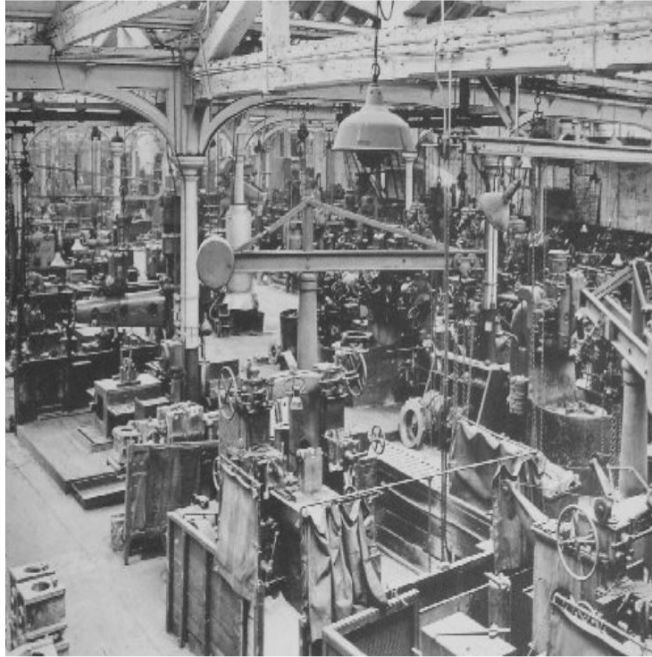
- 1700's and 1800's most of Europe and North America experienced an industrial revolution
- There was a major shift from skilled workers producing goods in their homes to unskilled workers producing goods in factories

Conditions Created by Classic Liberalism (Pg 116)



- Industrialization is the process where by society moves from an agricultural and hand made goods economy to one where goods are produced by machines in factories.

Conditions Created by Classic Liberalism (Pg 116)



- Industrialization produced many new farm machines that made it possible for workers to leave the farm and migrate to the city to look for work.
- This mass migration created a major surplus of workers in the cities

Conditions Created by Classic Liberalism (Pg 116)



- Most of the work that was available to people was in the factories
- Factory work brought about new rules, new hours, new wages and a whole new way of life

Results of Classical Liberal Values

(Pg 117)



- At this time laissez-faire economics was being followed by most industrialized economies
- Entrepreneurs were able to buy land, build factories, buy machines, produce and sell good, and hire employees with very little interference from government.

Results of Classical Liberal Values

(Pg 117)



- Many of these factory owners became very rich and were the first of their families to attain such wealth
- They became known as the *nouveau riche*
- They purchased large estates, hired servants and imitated the upper class

Results of Classical Liberal Values

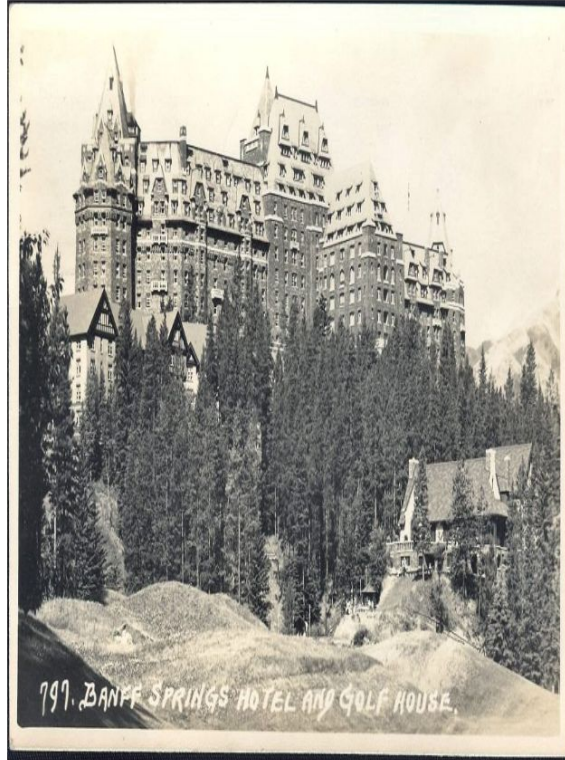
(Pg 117)



- The rich began to look at other cultural pursuits such as travel, fashion, golf, and strolling in parks showing off their latest stuff.

Results of Classical Liberal Values

(Pg 117)

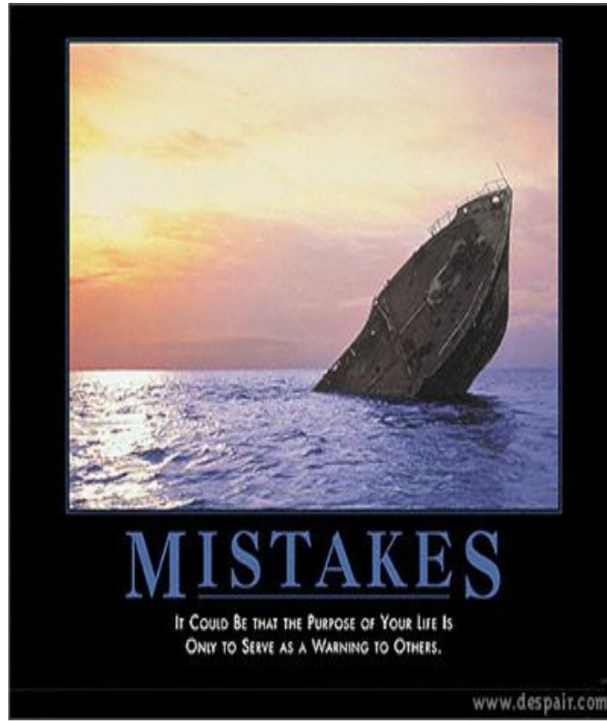


- The owners became incredibly rich and the workers became incredibly poor, even if they did have stable jobs.
- The working class could not travel, buy luxury items, or even buy the basics of living a health life

Problems associated with the Industrial Revolution and Classical Liberalism



Modern Liberalism (Pg 115)



- Modern Liberalists started to look at the way things had been working under classic liberalism
- They say that there was great inequities and tragic events occurring

Ideological Values

Collectivism

Individualism



Modern Liberalism

Classical Liberalism

Modern Liberalism: an ideology that developed over time to address concerns with the inequality and injustices created by a capitalist society, while remaining focused on individual rights, by allowing government to intervene. E.g. Labour laws, social programs etc.

Ideological Values

Collectivism

Individualism



Modern Liberalism	Classical Liberalism
• Interested in creating equality of opportunity for all individuals	• Interested in protecting the freedoms of individuals in economic affairs
• Freedoms and rights favour the individual, with more individuals in society receiving rights	• Maximum rights and freedoms for certain individuals (entrepreneurs)
• Government intervenes to ensure that the most vulnerable people (for example, the sick, elderly, unemployed, working poor) are cared for	• Government rules, regulations (for example, minimum wage), and social programs (for example, health care, old age security pensions, employment insurance) are kept to a minimum, with every person acting on his or her own behalf

Triangle Fire



TV
14



HD Documentary

PBS.American.Experience.2011.Triangle.Fire.720p.HDTV

00:02 / 53:47



2. **“The situation that led to the Triangle Fire was caused in some ways by the ideas of Classical Liberalism”**

Explain why someone would make the statement above? Refer to specific ideas and beliefs that are at the heart of classical liberalism.

3. After the fire many laws were made to make factory production safer for workers. Could or would these changes have been made if the society was based on the principles of classical liberalism?

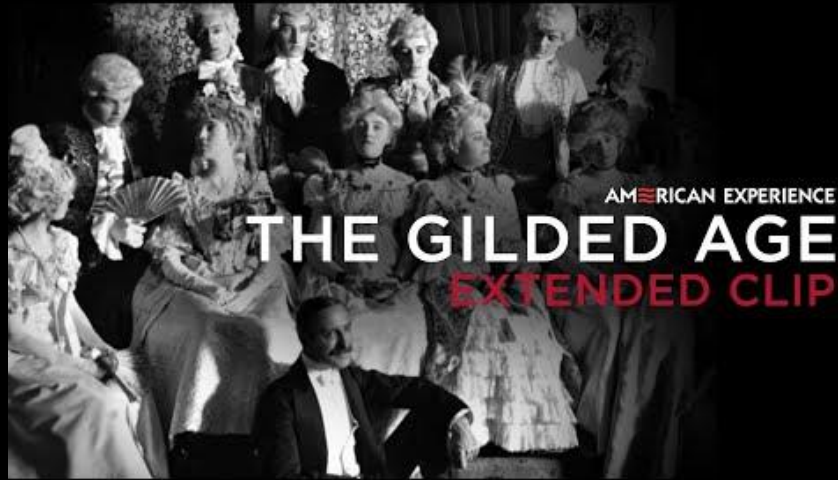
4. Source:

The law limiting the hours of employment in factories for women and boys under 18 years to fifty-four hours a week went into effect at 12 o'clock last night. This will affect more than 300,000 women, nearly two-thirds of whom are employed in New York City. This amendment to the State labor laws was a result of the agitation that followed the Triangle shirtwaist factory fire. It permits women and boys to be employed overtime for one hour a day, provided that the total hours a week do not exceed fifty-four. A factory may employ women ten hours a day for five days, provided it does not keep them at work longer than four hours on the sixth day. Work by women and children on the seventh day is absolutely prohibited.

A. Explain the main idea of the source:

B. Would the source be in support of classical liberalism or modern liberalism and why?

Are conditions different in America during their Industrialization Period?



The Gilded Age: A period of rapid industrialization and massive wealth inequality (disparity) in from 1870s until the late 1890s in the US

Disparity and the gap between Rich and poor



Results of Classical Liberal Values

(Pg 118)



- The working class resented the entrepreneurs so much that they began to call them robber barons.
- Many classical liberals at this time would have argued that these entrepreneurs were only getting the rewards they deserved for taking considerable risks

Questions that Society Began to Ask Themselves:

If liberalism was to free people in thought and expression, did classical liberalism really deliver what it had promised?

Can someone who must work long hours for little pay just to survive truly be considered free?



Should all individuals have the right to an education?



Should all individuals have the right to
adequate food and shelter?

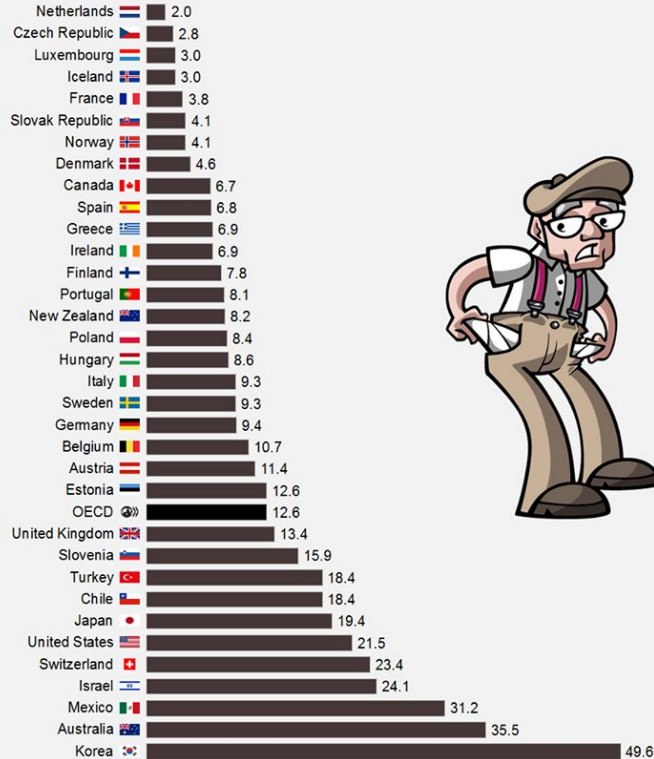


Should all individual have the right to health care even if they can't afford to pay for it?

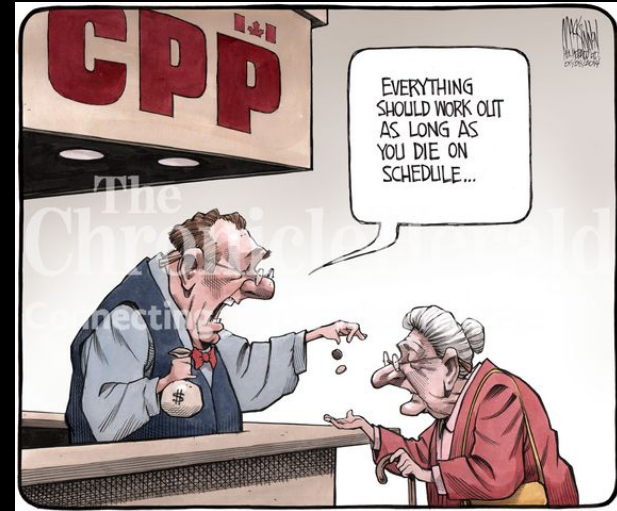


Poverty in old age

Share of 65+ living in relative income poverty*, 2012 or latest available



Should the elderly receive a pension to ensure they can live their old age in dignity? or Should everyone be expected to save for their retirement?



*Income below half the national median equivalised household income
Source: Pensions at a Glance 2015: OECD and G20 Indicators | Illustration: Shutterstock



Should taxpayers be forced to pay taxes to support the poor and the sick?



Results of Classical Liberalism: Robber Barons or Captains of Industry?

Page 118



Results of Classical Liberal Values

(Pg 118)



- Classical liberalists called the factory owners “captains of industry”. They were strong risk takers who were able to succeed in a ruthless world.
- They drove the economy and were examples to others about the success of the economy. Many of these entrepreneurs gave back in large amounts to society. This is called philanthropy.

Results of Classical Liberal Values (Pg 118)



- Other saw them as “robber barons” cold, ruthless and greedy people.
- The generated great amounts of wealth on the backs of the working poor.

Income Gap and Cost of Living (Pg 119)



- During the 1800's the rich became richer and the poor became poorer
- This increased the income gap, the gap between the rich and the poor.

Income Gap and Cost of Living (Pg 119)



- The **standard of living** did not improve for the working class during this period of time.
- The standard of living can be measured by the amount of goods and services that can be purchased by a person

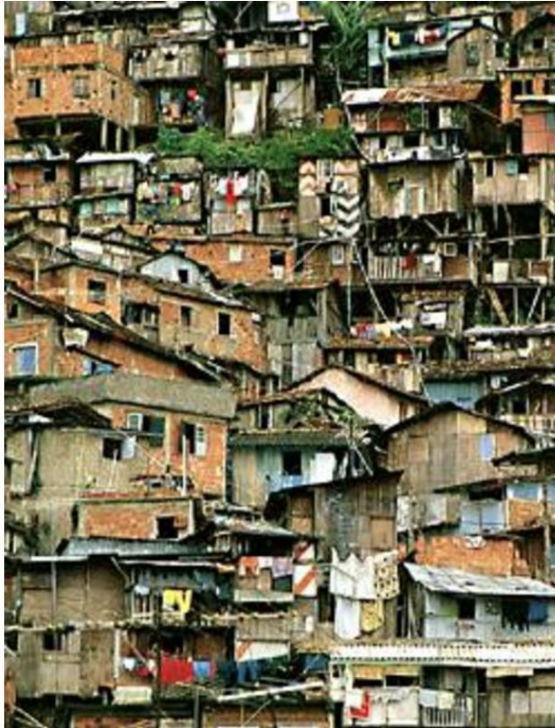
Income Gap and Cost of Living (Pg 119)



- Cost of living can be measured by the cost of providing the basic necessities of life; food, shelter and clothing
- Although the standard of living as a whole increased in society in this period, so to did the cost of living. This put serious press on people who did not see a major increase in wages.

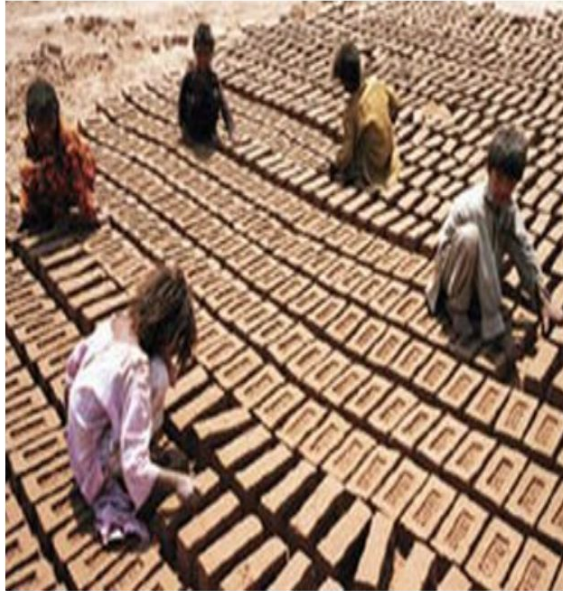
- 
- Why do you think the cost of living increased during this period of time?

Challenges of the Working Class (Pg 120)



- There were some major problems with the laissez-faire economics of the 1700's and 1800's
 - Inhumane and Cruelty to workers
 - Pollution
 - City slums
 - Long working hours
 - Child labour

Challenges of the Working Class (Pg 120)



- These problems resulted because there were no rules to stop it
- Government interventions was not tolerated as it was seen as meddling in the economy and not good for the common good

Challenges of the Working Class

13. For each of the sources below make point form notes about the working conditions described:

A. How the Other Half Lives p. 120

B. Working Conditions in Mines and Factories p. 122

C. Child Labour p. 123

14. Some people remained Classical Liberals and opposed the changes suggested by the MODERN LIBERALS. What do you think were their main arguments???

Possible Gov't Actions (Answers)

